

Analysis of Profits

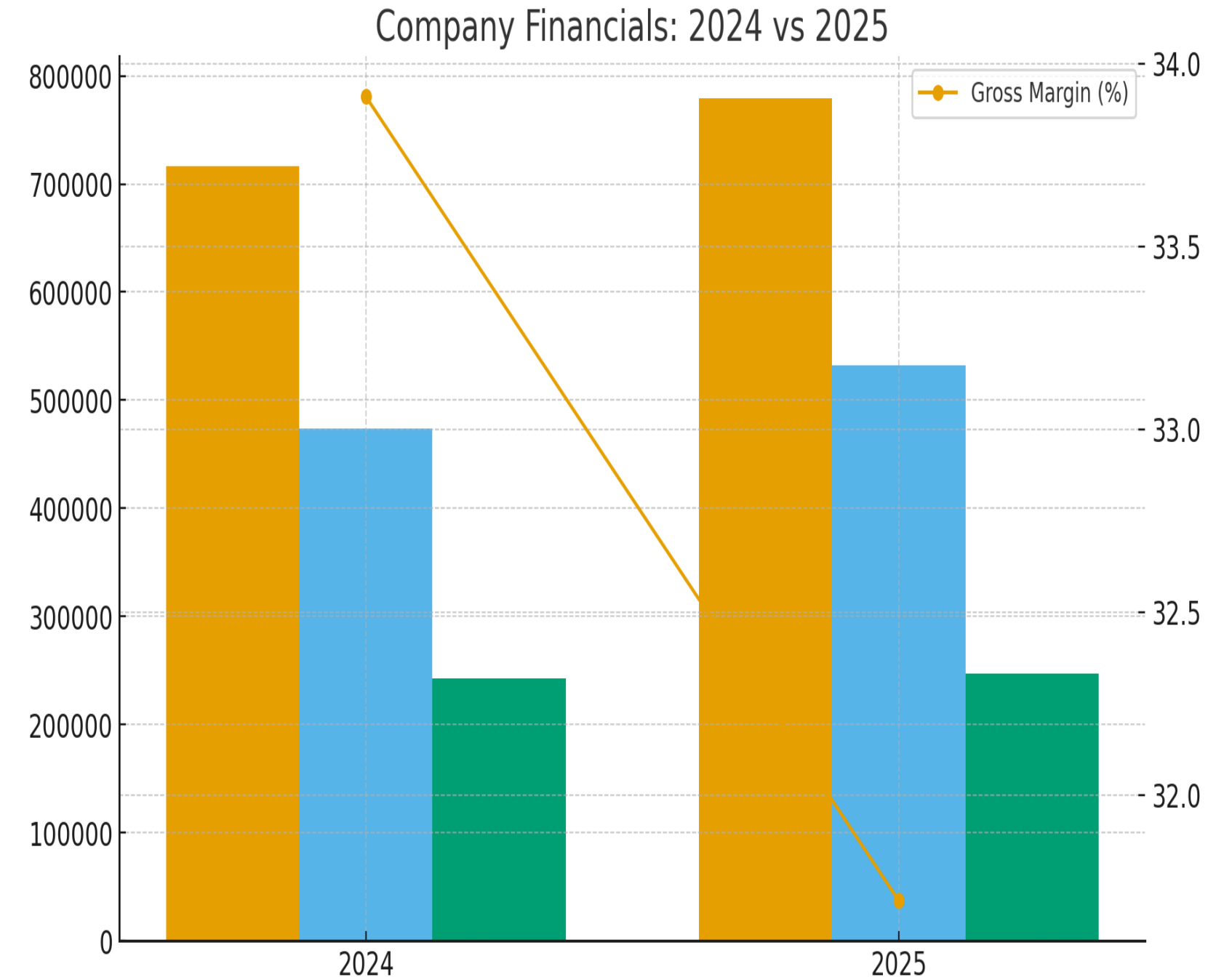
Ecommerce Company

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Company Financials (2024 vs 2025)

- Net Sales rose from \$716,765 to \$778,997 (+8.7%)
- COGS increased from \$473,685 to \$531,942 (+12.3%), outpacing sales.
- Gross Profit moved from \$243,080 to \$247,055 (+1.6%).
- Gross Margin compressed from 33.91% to 31.71%

Company Financials: 2024 vs 2025



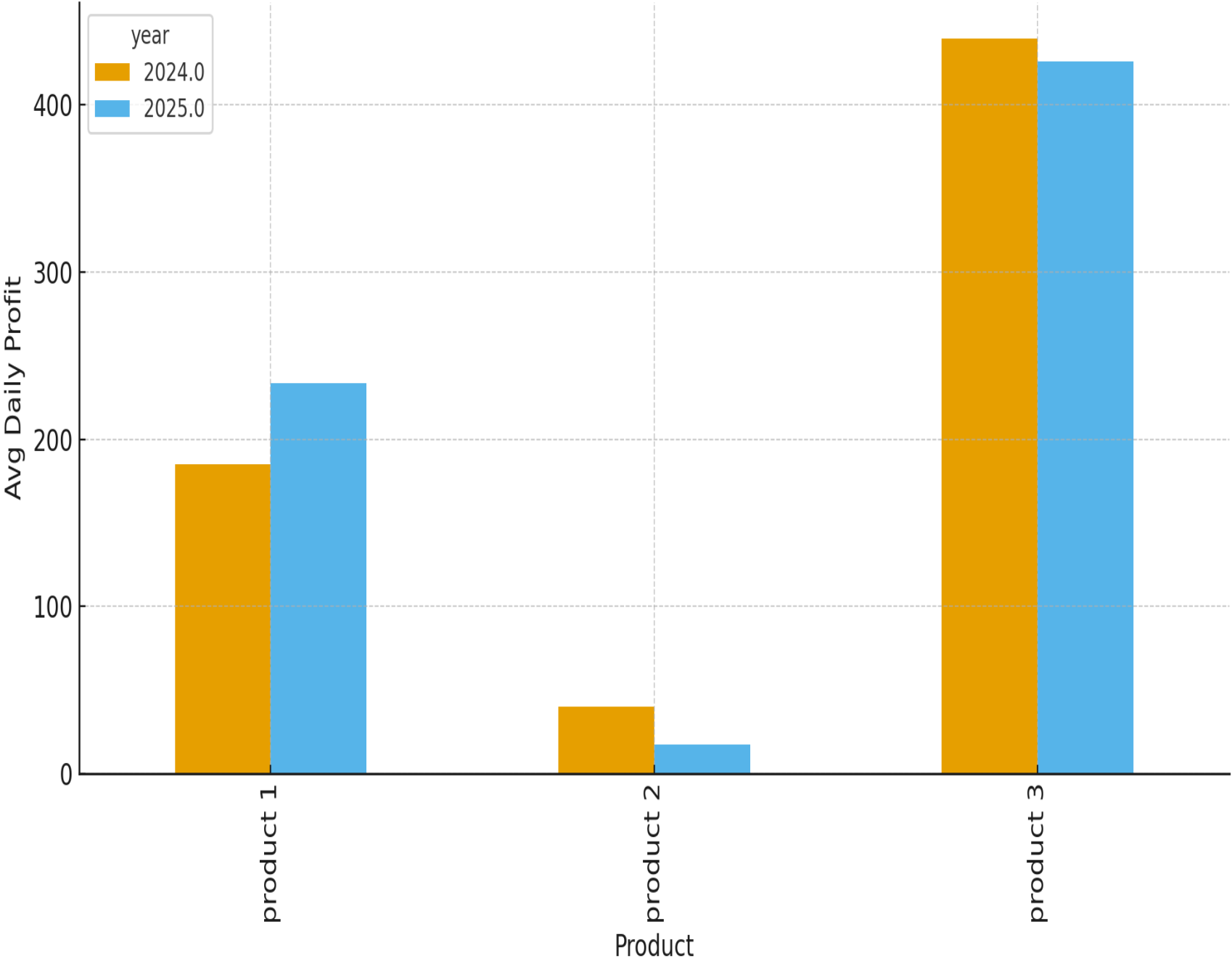
Product Performance (YoY)

- 2024 — product 1: Max units/day 99, Avg daily profit \$184.79
- 2024 — product 2: Max units/day 10, Avg daily profit \$39.72
- 2024 — product 3: Max units/day 249, Avg daily profit \$439.65
- 2025 — product 1: Max units/day 103, Avg daily profit \$233.28
- 2025 — product 2: Max units/day 9, Avg daily profit \$17.48
- 2025 — product 3: Max units/day 273, Avg daily profit \$426.10

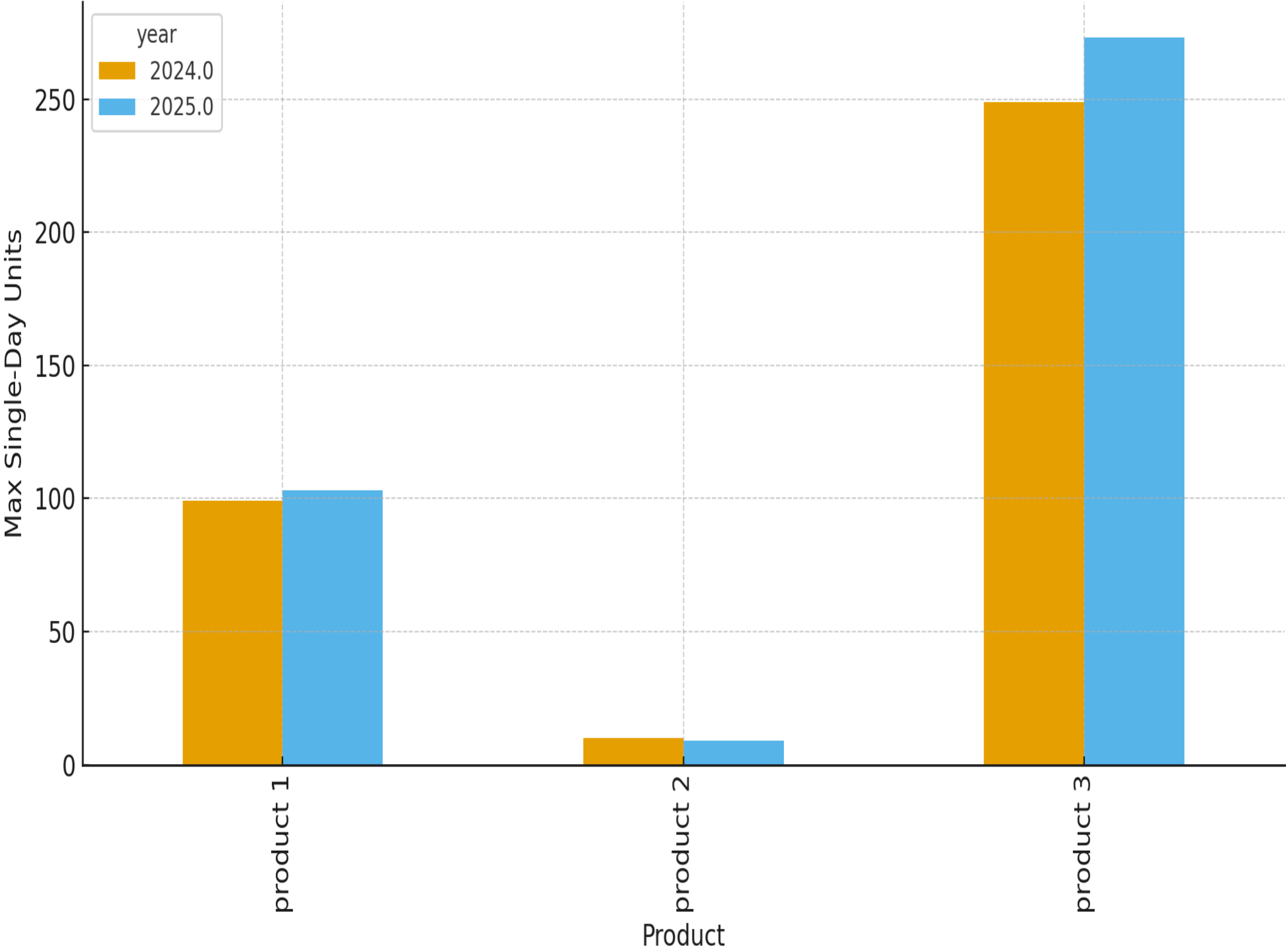
Product Performance (YoY)

Visual Chart

Average Daily Profit by Product and Year



Max Single-Day Units Sold by Product and Year



Proposal to Increase Future Profits (2026)

- Strengthen margins: negotiate supplier pricing, focus on higher-margin SKUs, reduce returns.
- Marketing efficiency: scale channels with best LTV/CAC; boost retention and bundles.
- Revenue growth: upsell & cross-sell; pilot subscriptions; time promos to peak months.
- Cost control: keep payroll/overhead flat; audit logistics & software.
- Targets: Gross Margin $\geq 33\%$, LTV/CAC ≥ 3 , +20% Net Profit vs 2025.

Product-Level Highlights (YoY)

- Biggest YoY profit gainer: product 1 (+\$48.50).
- Biggest YoY profit decliner: product 2 (\$-22.24).
- Prioritize growth products in marketing/inventory, adjust pricing/promotions for laggards.

Financial Trends with Visual Indicators

- Net Sales ↑ 8.7%
- COGS ↑ 12.3% (faster than sales)
- Gross Profit ↑ 1.6%
- Gross Margin ↓ 2.20 pts

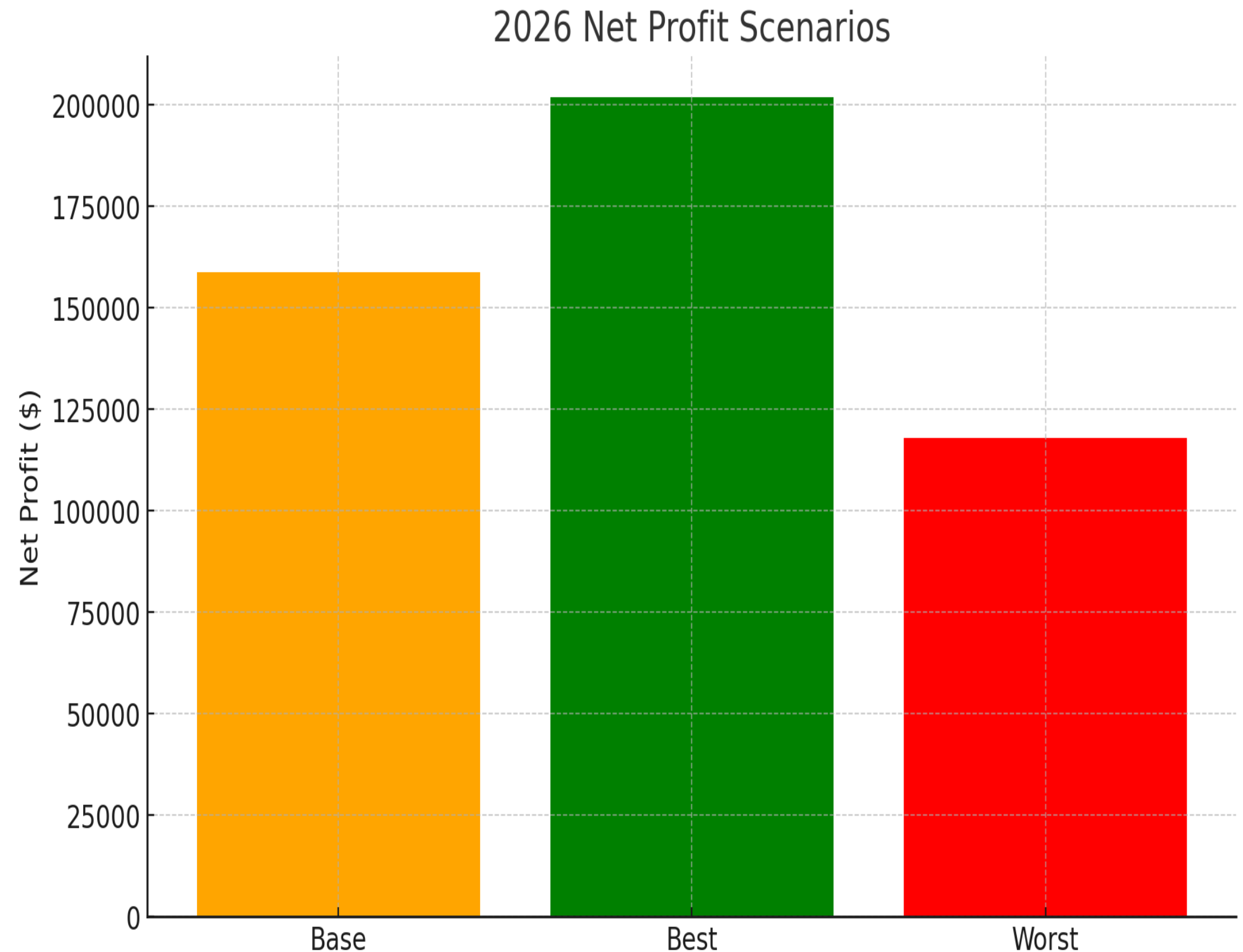
2026 Profit Scenarios

Base Case: $\approx$ \$158,811

Best Case: $\approx$ \$201,825

Worst Case: $\approx$ \$117,864

→ Focus: COGS efficiency, marketing ROI, sales growth, risk prep.



Executive Summary

- Revenue grew nearly 9% (2024→2025), but COGS outpaced growth.
- Gross Profit ↑ only ~1.6%, Margin fell to ~31.7%.
- Product analysis: clear winners vs laggards.
- 2026 strategy: stronger margins, higher marketing ROI, recurring revenue, flat costs.